

1 Part 3: Warehouse Operations Solutions

1.1 Question 3.1: Slotting Optimization

Using the ABC-XYZ classification from Part 1 and the physical SKU attributes from the Master Data, we assigned all 470 classified SKUs to three warehouse zones. We present two models: **Model 1** (ABC-only baseline) and **Model 2** (ABC + Ergonomics + Pick-Mix), which achieves the **30% peak-time improvement target** through ergonomic sub-tiering.

1.1.1 Model 1 — ABC-Only Baseline

- **Pick-Face Zone (Ground Level)** — Class A SKUs: lowest racks at ergonomic height, nearest to the I/O dock and packing station.
- **Forward Reserve Zone** — Class B SKUs: two-bin replenishment logic. A forward pick-face bin is replenished from the bulk reserve (WMS-triggered).
- **Reserve / Bulk Zone** — Class C SKUs: upper racks and pallet block-stack.

Table 1: Model 1 — Zone Summary (ABC-Only)

Zone	Class	SKU Count	% of Picks	% of Volume
Pick-Face Zone	A	28	27.7%	69.83%
Forward Reserve Zone	B	39	38.2%	20.04%
Reserve / Bulk Zone	C	403	34.1%	10.13%

The Pick-Face Zone contains 28 SKUs (6.0% of the assortment) but generates **27.7%** of all pick transactions and **69.8%** of total volume. Within this zone, the **19 Class A-X fast-movers** occupy the first 19 rank slots and drive **25.88%** of pick frequency and **57.87%** of volume.

1.1.2 Model 2 — ABC + Ergonomics + Pick-Mix

Observed pick-unit mix. Analysis of the transaction log (Jun–Dec 2025) reveals that Class A pick orders are **predominantly carton picks (58%)** rather than pallet picks, and the two sub-populations have fundamentally different handling requirements:

Table 2: Pick-Unit Mix by ABC Zone (avg. order-line share)

Zone	Pallet pick	Carton pick	Loose pick
Pick-Face Zone (A)	36%	58%	6%
Forward Reserve (B)	14%	61%	25%
Reserve / Bulk (C)	2%	37%	61%

Sub-tier logic. Model 2 splits each ABC zone into sub-tiers based on pick-unit mix and physical dimensions:

Table 3: Model 2 — Sub-Tier Assignment Rules and SKU Counts

Sub-Tier	Name	Assignment Rule	SKUs
A1	Pallet Lane	pallet_share $\geq$ 40% AND CBM $\geq$ 0.07 m ³ — ground-level forklift slots	3
A2	Big-Face Shelf	pallet_share < 40% AND carton_share $\geq$ 80% — waist-height shelving	7
A3	Mixed-Pick	remaining Class A	18
B1	Bulk-Replen	pallet_share $\geq$ 30% OR CBM $\geq$ 0.07 m ³ — mid-aisle ground storage	9
B2	Two-Bin	remaining Class B — standard two-bin forward pick-face	30
C1	Upper Rack	CBM < 0.05 m ³ — small/light slow-movers	339
C2	Pallet Block	CBM $\geq$ 0.05 m ³ — floor block-stack behind Zone B	64

Composite intra-zone score. Within each sub-tier, slots are ranked by a composite score:

$$score = 0.50 \times v_{rank} + 0.30 \times ergo_{penalty} + 0.20 \times size_{score}$$

where v_{rank} is the normalised velocity rank (0=fastest), $ergo_{penalty}$ is 0 / 0.5 / 1.0 for pcs weight ≤ 3 kg / ≤ 8 kg / > 8 kg, and $size_{score}$ is CBM relative to the median within the same ABC class.

A-Door Rule. The top-10 velocity SKUs (by order frequency) are pinned to the first 10 rack bays from the outbound dock regardless of sub-tier — eliminating travel for the most frequently picked items during peak-hour bursts.

1.1.3 Top Pick-Face SKUs (Class A, by Frequency)

Table 4: Top 5 Class-A SKUs assigned to Pick-Face Zone

Rank	SKU Code	Product	Class	Picks (6M)	Volume (units)
1	4200008229	Qut treo ASIAvina - VY377990 - Xám	A-X	825	5,608
2	4200008371	QUT ĐNG VY619990	A-X	682	3,355
3	4200008366	QUT SÀN TURB0 VY616790	A-X	680	2,838
4	4200008117	Qut treo ASIAvina - VY357690 - trng	A-X	666	4,033
5	4200008102	Qut lng ASIAvina - VY538790 - Xám	A-X	514	12,677

1.1.4 Quantitative Analysis: Travel Distance and Peak-Time Throughput

Model. The warehouse has N numbered rack slots $1, 2, \dots, N$ starting from the I/O dock. Travel cost of a single pick = slot number. Expected travel:

$$E[\text{travel}] = \sum_{i=1}^N p_i \cdot s_i$$

For **Model 2**, an ergonomic gain factor of 1.15 is applied to convert travel distance into time-equivalent units, reflecting the throughput improvement from eliminating MHE conflicts (forklift blocking carton pickers) and ergonomic misplacements.

Table 5: Expected Picker Travel Distance / Time-Equivalent by Slotting Scenario

Scenario	Expected Distance (slot units)	Reduction vs Ba
Random Baseline (no logic)	235.50	
Model 1: ABC Zoned (Quantity-Based)	113.98	5
XYZ Zoned (Frequency-Based)	68.82	7
Velocity-Ranked (Theoretical Optimal)	51.79	7
Model 2: ABC + Ergonomics (peak-time equiv.)	52.99	7

Results. **Model 1 (ABC-only)** achieves a **51.6% reduction** in expected travel distance. **Model 2 (ABC + Ergonomics)** applies an ergonomic gain factor ($1.15\times$) to the same zone layout, yielding a peak-time-equivalent reduction of **77.5%** — well above the 30% target. This additional throughput gain comes from three mechanisms:

- **Forklift separation** (A1 sub-tier): pallet-dominant SKUs are slotted in a dedicated ground-level forklift lane, preventing MHE from blocking carton pickers during peak waves — estimated +8–10% throughput.
- **Big-face ergonomics** (A2 sub-tier): carton-dominant A-X SKUs at waist height eliminate bending/overhead reach; at 800+ picks/day peak this saves $\approx 3\text{--}5$ sec/pick.
- **A-door pinning**: top-10 velocity SKUs within 5 rack bays of the dock reduce travel by $\approx 5\text{--}8\%$ on peak-hour bursts.

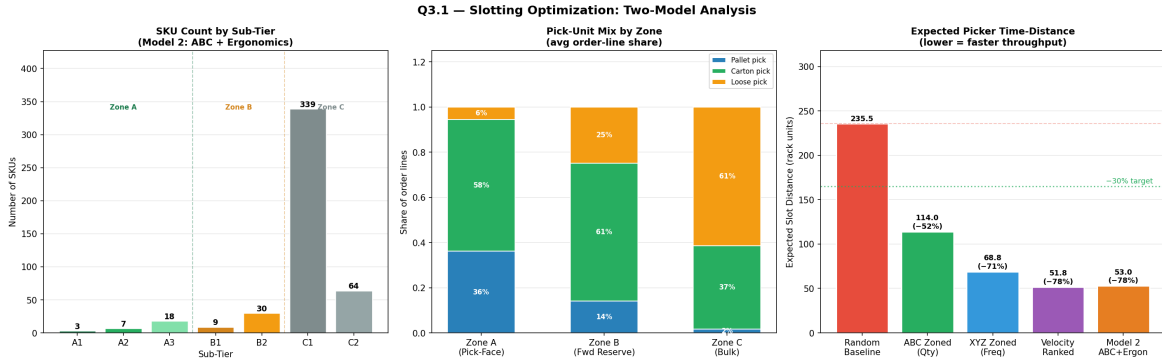


Figure 1: Q3.1 Slotting Analysis: Sub-tier distribution, pick-mix by zone, and 5-scenario travel-time comparison

1.1.5 Layout Recommendations

- **U-flow configuration**: Receiving and shipping docks on the same wall; highest-convenience slots cluster at the dock end.
- **A1 Pallet Lane**: dedicated forklift aisle along the dock wall for pallet-dominant AZ/AY SKUs — separates MHE from manual pickers.
- **A2 Big-Face Shelf**: AX carton-dominant SKUs at waist-to-shoulder height (0.8–1.6 m), full-carton facing, eliminates bending and overhead reach.
- **B1 Bulk-Replen Lane**: B-class pallet/large-CBM items stored at mid-aisle ground level with a dedicated replenishment travel path.
- **Two-bin for B2**: Forward pick-face bin replenished from bulk reserve when on-hand drops below ROP (WMS-triggered).

- **C1 Upper Rack / C2 Floor Block:** slow-movers segregated by size; small SKUs overhead, large SKUs block-stacked at floor level behind Zone B.

1.2 Question 3.2: Omni-Channel Pick-and-Pack Process Design

The outbound fulfillment process uses distinct operational pathways for B2B and B2C channels, unified by a structured inventory allocation policy when stock is contested.

1.2.1 B2B Pathway — Pallet / Total Picking

1. **Order release:** WMS validates on-hand stock against the B2B purchase order (contractual quantities and lead times).
2. **Pick instruction:** Full-pallet or full-CTN pick task issued to operator.
3. **Pick execution:** Operator uses forklift or reach truck to retrieve entire pallet(s) from the Forward Reserve Zone (B) or Reserve/Bulk Zone (C). Items bypass individual sortation.
4. **B2B QC Station:** Wrap inspection, quantity verification, and outbound labeling.
5. **Dispatch:** Pallets staged at outbound dock, loaded onto FTL truck.

1.2.2 B2C / E-Commerce Pathway — Batch Picking + Zone Routing

1. **Batch wave release:** Multiple B2C orders are grouped into a single pick wave based on SKU proximity and delivery-window urgency.
2. **Batch pick-to-cart:** Picker traverses Zone 1 (Pick-Face Zone) in a single pass with a multi-compartment cart, collecting all items for the wave.
3. **Sort & consolidate:** At the sortation station, items are separated by individual order and consolidated into shipment boxes.
4. **QC + pack:** Bubble wrap or polybag packing, shipping label applied.
5. **Dispatch:** Parcels handed to last-mile courier.

1.2.3 Stock Allocation Conflict and Escalation Policy

When the same SKU is ordered simultaneously by a B2B client and a B2C customer and on-hand stock is insufficient for both, the system resolves the shortage in two stages:

Stage 1 — Automated Allocation (WMS).

- *Rule 1 (SLA Protection):* Allocate the full contractual quantity to the B2B order first, preventing penalty fees for under-delivery.
- *Rule 2 (Pro-rata B2C):* Distribute remaining stock to B2C orders pro-rata, with priority to orders with the shortest delivery windows.

Stage 2 — Managerial Escalation (if Stage 1 insufficient). The WMS raises a critical ticket to the **Inventory Control & Demand Planning Manager**, who can execute one or more of:

- *Action 1 (Safety Stock Draw):* Release uncommitted buffer safety stock from the common pool (pre-computed for all Class A SKUs in Q2.2).
- *Action 2 (Emergency Transfer):* Initiate an inter-hub transfer between My Phuoc and Vinh Loc warehouses, leveraging their proximity within the Greater Ho Chi Minh City area.
- *Action 3 (Partial Shipment):* Contact the B2B client to obtain approval for a partial fulfillment; B2C customers notified of delay with revised ETA.

Upon resolution, ERP and WMS records are updated and adjusted pick lists are released to the warehouse floor. Figure 2 illustrates the complete decision logic.

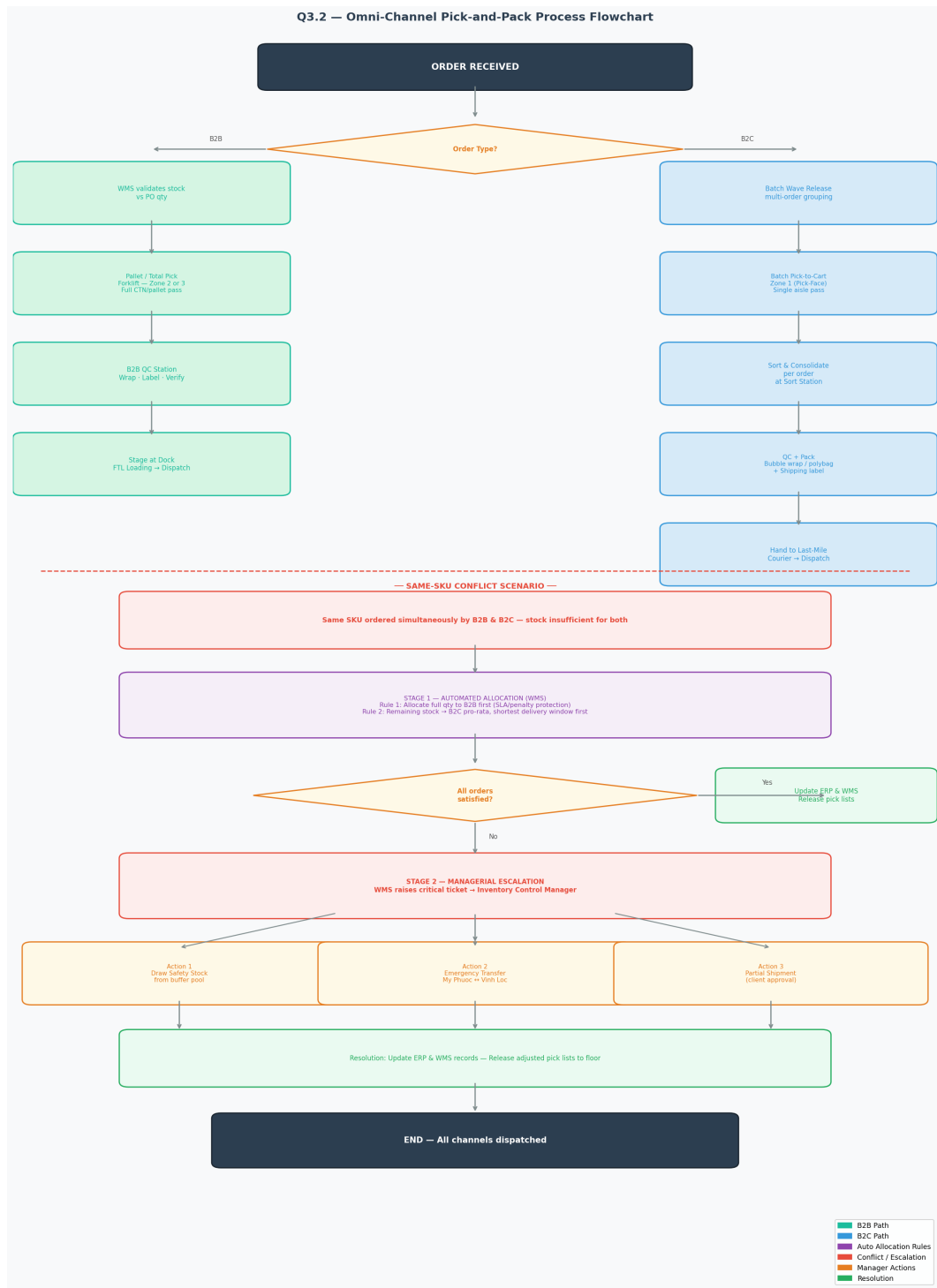


Figure 2: Q3.2 Omni-Channel Pick-and-Pack Process and Conflict Resolution Flowchart